CHAPTER-2 GOODWILL - NATURE & VALUATION

*'**Goodwill** is a thing very easy to describe but very difficult to define. It is the benefit and advantage of good name, reputation and connections of a business. It is the attractive force which brings in customers. It is one thing which distinguishes an old established business from a new business at the first instance.' – **Lord Macnaghten***

In simple words, goodwill means an intangible asset that contributes to the growth of the business and drives in profits. There can be two situations in which the presence of goodwill can be judged, these are:

1. With same capital investment, the business earns profits at a higher rate of return than its counterparts in the same industry; or
2. Business earns at an equal rate of return as its counterparts in the same industry but at a lesser capital investment.

Characteristics of Goodwill:

1. It is an intangible asset.
2. Goodwill cannot exist in the absence of business identity, i.e. its existence is based on the existence of business.
3. Value of goodwill depends upon the judgement of the valuer and may differ under different assumptions.
4. Goodwill is an attractive force that brings in customers and leads to higher profitability.
5. Goodwill is the advantage that a business has over other businesses.

Factors affecting Goodwill:

The value of goodwill keeps on changing if the factors on which it is based upon undergoes a change. These are:

1. Efficiency of management – if the management is efficient and competent, it will be easier to earn higher profits which will increase the value of goodwill.
2. Advantages of trademarks, patents, designs and exclusive rights – as a result of certain exclusive intellectual property rights, the business tend to increase its value of goodwill.
3. Location – sometimes due to the favorable location a business may generate goodwill.
4. Nature of business – if the business is of such nature that its products are in high demand, it will result in increased goodwill.
5. Market conditions of high demand and low supply will lead to higher profits with low capital investments, thereby increasing goodwill.
6. Other factors – like past performance of business, corporate social responsibility programs undertaken by business, after sale services that keep customers happy, good labor relations etc. all contribute to the creation and enhancement of goodwill.

Types of Goodwill:

1. **Purchased goodwill** – it is also called acquired goodwill. When a business acquires or takes over another business, then it may sometimes pay an amount in excess of the purchase consideration. This extra amount is termed as goodwill since it is always assumed that whatever extra is paid it is for the intangible assets that are bestowed to the business on its acquisition which may be a result of its good name, reputation, trade links etc.

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2. **Self-generated goodwill** – it is internally generated goodwill that arises due to a number of factors that a running business possesses. It is the cumulative effects of past performances, labor relations, customer satisfaction, growth and profitability etc. that puts the business in a position of advantage over and above its counterparts. It is very difficult to identify and value such goodwill.

As per 'AS-26 – Intangible assets' – Goodwill can only be recorded in the books of accounts when money or money's worth has been paid to acquire it. This implies that self-generated goodwill cannot be recorded in books of accounts.

Methods of valuation of Goodwill:

1. Average Profits Method
2. Weighted Average Profits Method
3. Super Profits Method
4. Capitalization of Average Profits Method
5. Capitalization of Super Profits Method

Let us discuss the terms used in above methods in detail.

1. **Capital Employed:**

   It refers to the amount invested in the business by the owners only.

Capital Employed = Capital Investment + Reserves and Profits – Fictitious Assets – Non Trade Investments

Or

Capital Employed = Total Assets – Fictitious Assets – Non Trade Investments – Outside Liabilities

Or

$$\textbf{Average Capital Employed} = \frac{\text{Opening Capital Employed + Closing Capital Employed}}{2}$$

2. **Normal Rate of Return (NRR)/Normal Profits:**

   NRR is the rate at which every unit in a specific industry is expected to earn profits as a percentage of its capital employed. The profits earned at NRR are called normal profits.

   For Example: if telecom industry has NRR of 10% p.a, it implies that any business unit operating in the telecom industry is expected to earn 10% p.a on its capital employed.
   Thus, on an investment of ₹ 1 Lac, its normal profits would be ₹ 10k.

3. **Average Profits:**

   It is the average of the normal business profits earned by an enterprise for any given number of years.
   Normal business profits mean the profits which a business earns or has earned or will earn out of its normal business activities. Any abnormal gain or loss has to be eliminated from the profits earned to get normal profits.

$$\textbf{AP} = \frac{\text{Sum Total of Normal Profits of (n) years}}{(n)}$$

4. Super Profits:

It is the excess of the average profits earned by a business over and above the normal profits expected to be earned.

SP = Average Profits (AP) – Normal Profits (NP)

5. Weighted Average Profits (WAP):

Weighted average profits are the normal profits of a number of years averaged by applying weights.

WAP = Sum Total of Weighted Normal Profits / Sum of Weights

Year	Normal Profits (Rs.)	Weights	Weighted Normal Profits
2017	100000	1	100000
2018	250000	2	500000
2019	400000	3	1200000
Total	**750000**	**6**	**1800000**

AP = 750000/3 = 250000

WAP = 1800000/6 = 300000

Methods of valuation of Goodwill:

I. Average Profits Method:

Goodwill under this method is calculated as number of years' purchase of average normal profits of a specified number of years.

G/W = AP * Number of Years' purchase

Number of years' purchase implies that while estimating the value of goodwill, it is assumed that the business will enjoy profits at the same average for that many years after the change of ownership.

II. Weighted Average Profits Method:

This method is similar to average profits method. The only difference is that instead of using a simple average, weights are assigned to the profits to take into effect the trend which the profits show.

In case of increasing or decreasing trend in profits – weights can be assigned in such a manner that highest weight is allotted to the most recent year showing the trend so that its effect can be maximized as it has the highest probability of occurrence in future.

In case of oscillating trend in profits, simple average method is used for calculating goodwill.

G/W = WAP * Number of Years' purchase

III. Super Profits Method:

Goodwill under this method is calculated as number of years' purchase of the super profits earned.

G/W = SP * Number of Years' purchase

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IV. Capitalization of Average Profits Method:

Steps:

1. Calculate Average profits for specified number of years.
2. Use capitalization formula to estimate the required capital employed for earning such average profits at NRR.
   Estimated Capital Employed = $\frac{AP * 100}{NRR}$
3. Compute the actual capital employed in the business.
4. Calculate goodwill as:

G/W = Estimated capital employed – Actual capital employed

V. Capitalization of Super Profits Method:

Steps:

1. Calculate Average normal profits for specified number of years.
2. Calculate normal profits.
3. Calculate Super Profits earned as SP = AP - NP
4. Calculate goodwill by using capitalization formula as:

G/W = $\frac{\text{Super Profits} * 100}{\text{NRR}}$

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Test Your Knowledge & Practice

Average Profits Method

1. Goodwill is to be valued at three years' purchase of four years' average profit. Profits for last four years ending on 31st March of the firm were:
2020—₹ 12,000: 2021—₹ 18,000: 2022—₹ 16,000; 2023—₹ 14,000.
Calculate amount of Goodwill. *(Ans: ₹ 45,000)*

2. Calculate value of goodwill on the basis of three years' purchase of average profit of the preceding five years which were as follows:

Year	2023-24	2022-23	2021-22	2020-21	2019-20
Profits (₹)	8,00,000	15,00,000	18,00,000	4,00,000 (Loss)	13,00,000

(Ans: ₹ 30,00,000)

3. A, B and C are partners in a firm sharing profits and losses in the ratio of 3:2:1. They decide to take D into partnership from 1st April, 2024 for 1/5th share in the future profits. For this purpose, goodwill is to be valued at twice the average annual profit of the previous three or four years, whichever is higher. The average profit for the purpose of goodwill for the past four years was:

Year	2023-24	2022-23	2021-22	2020-21
Profits (₹)	48,000	30,300	31,200	42,200

Calculate value of goodwill. *(Ans: ₹ 75,850)*

4. A purchased B's business with effect from 1st April, 2024. It was agreed that the firm's goodwill is to be valued at two years' purchase of normal average profit of the last three years. The profits of B's business for the last three years were:
2021-22 - ₹ 80,000 (including an abnormal gain of ₹ 10,000).
2022-23 - ₹ 1,00,000 (after charging an abnormal loss of ₹ 20,000).
2023-24 - ₹ 90,000 (excluding ₹ 10,000 as insurance premium on firm's property not insured during the year because of oversight).
Calculate value of the firm's goodwill. *(Ans: ₹ 1,80,000)*

5. A, B and C are partners sharing profits and losses equally. They agree to admit D for equal share. For this purpose, value of goodwill is to be calculated on the basis of four years' purchase of average profit last five years. These profits were:

Year	2019-20	2020-21	2021-22	2022-23	2023-24
Profit/Loss (₹)	30,000 (Profit)	70,000 (Profit)	1,00,000 (Profit)	1,40,000 (Profit)	1,20,000 (Loss)

On 1st April, 2023, a motorcycle costing ₹ 20,000 was purchased and debited to Travelling Expenses Account, on which depreciation is to be charged @ 25%. Calculate value of goodwill after adjusting the above. *(Ans: ₹ 1,88,000)*

6. The profits of a firm for the year ended 31st March for the last five years were:

Year	31st March, 2020	31st March, 2021	31st March, 2022	31st March, 2023	31st March, 2024
Profits (₹)	40,000	48,000	60,000	50,000	36,000

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Calculate value of goodwill on the basis of three years' purchase of the weighted average profit after assigning weights 1, 2, 3, 4 and 5 respectively to the profits for years ended 31st March, 2020, 2021, 2022, 2023 and 2024. *(Ans: ₹ 1,39,200)*

7. A and B are partners sharing profits and losses in the ratio of 5:3. On 1st April, 2023, C is admitted to the partnership for 1/4th share of profits. For this purpose, goodwill is to be valued at two years' purchase of last three years' profits (after allowing partners' remuneration). Profits to be weighted 1:2:3, the greatest weight being given to last year. Net profit before partners' remuneration were: 2020-21: ₹ 2,00,000; 2021-22: ₹ 230,000; 2022-23: ₹ 2,50,000. The remuneration of the partners is estimated to be ₹ 90,000 p.a. Calculate amount of goodwill. *(Ans: ₹ 2,90,000)*

8. X and Y are partners sharing profits and losses in the ratio of 3:2. They admit Z into partnership for 1/4th share in goodwill. Z brings in his share of goodwill in cash. Goodwill for this purpose is to be calculated at two years' purchase of the average normal profit of past three years. Profits of the last three years ended 31st March, were:

2021—Profit ₹ 50,000 (including profits on sale of assets ₹ 5,000).

2022—Loss ₹ 20,000 (including loss by fire ₹ 30,000).

2023—Profit ₹ 70,000 (including insurance claim received ₹ 18,000 and interest on Investments and Dividend received ₹ 8,000).

Calculate value of goodwill. *(Ans: ₹ 66,000)*

9. A and B are partners sharing profits in the ratio of 3: 2. They decided to admit C as a partner from 1st April, 2023 on the following terms:

(i) C will be given 2/5th share of the profit.

(ii) Goodwill of the firm will be valued at two years' purchase of three year' normal average profits of the firm.

Profits of the previous three years ended 31st March were:

2023—Profit ₹ 30,000 (after debiting loss of stock by fire ₹ 40,000).

2022—Loss ₹ 80,000 (includes voluntary retirement compensation paid ₹ 1,10,000).

2021—Profit ₹ 1,10,000 (including a profit of ₹ 30,000 on the sale of fixed assets).

Calculate the value of goodwill. *(Ans: ₹ 1,20,000)*

10. Calculate the value of goodwill on the basis of 2.5 year's purchase of the average profits of the last five years. The profits and losses for the years were: 2018- ₹ 80,000; 2019- ₹ 1,00,000; 2020- Loss ₹ 30,000; 2021- ₹ 1,70,000; 2022- ₹ 1,60,000 and 2023- ₹ 1,80,000. You are informed that the profits of the year 2022 included profit on sale of a fixed asset amounting to ₹ 50,000 and the profits for the year 2023 were affected by a loss due to fire amounting to ₹ 20,000. *(Ans: ₹ 2,75,000)*

11. X and Y are partners sharing profits and losses in the ratio of 4:3. They agree to admit Z as a partner for 1/5th share. For this purpose, the goodwill of the firm is to be calculated on the basis of 3 years' purchase of last 4 years average profits. The profits for the last four years were:

Years	**Profits** (₹)
2020	₹ 70,000 (after allowing interest on investment of ₹ 5,000)
2021	₹ 25,000 (after charging loss of ₹ 6,995 on sale of plant)
2022	₹ 61,000
2023	₹ 45,000

The following additional information is provided:

(i) On 1.7.2021, the firm had purchased a computer for ₹ 30,000 and it was debited to stationery expenses. Depreciation is to be charged on computer @10% on diminishing balance method.

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(ii) The closing stocks of 2021 and 2022 were overvalued by ₹ 3,000 and ₹ 2,000 respectively.

(iii) To cover the operating cost, an annual charge of ₹ 4,500 should be made for the purpose of goodwill valuation.

Calculate goodwill of the firm. *(Ans: ₹ 1,56,060)*

12. Calculate the value of goodwill of a firm at 3 years purchase of the weighted average profits of the last four years. Weights to be used are 2020: 1 ; 2021 : 2 ; 2022 : 3 ; 2023 : 4. The profit for these years are 2020 : ₹ 20200 ; 2021 : ₹ 24,800 ; 2022 : ₹ 20,000 and 2023 : ₹ 30,000.

(i) On 1 September 2022, a major repair was made in respect of the plant incurring ₹ 6,000 which amount was charged to revenue. The paid sum is agreed to be capitalized for goodwill calculation subject to adjustment of depreciation of 10% p.a. on reducing balance method.

(ii) Closing stock for the year 2021 was overvalued by ₹ 2,400.

(iii) To cover the management cost an annual charge of ₹ 4,800 should be made for the purpose of goodwill valuation. *(Ans: ₹ 65,784)*

Super Profits Method

13. A firm earned net profits during the last three years as:

Year	I	II	III
Profit (₹)	18,000	20,000	22,000

The capital investment of the firm is ₹ 60,000. A fair return on the capital having regard to the risk involved is 10%. Calculate value of goodwill on the basis of three years' purchase of the average super profit for the last three years. *(Ans: ₹ 42,000)*

14. Average net profit of ABC expected in the future is ₹ 54,000 per year. The average capital employed in the business is ₹ 3,00,000. Normal profit expected from capital invested in this class of business is 10%. The remuneration of the partners is estimated to be ₹ 9,000 p.a. Find out the value of goodwill on the basis of two years' purchase of super profit. *(Ans: ₹ 30,000)*

15. The average profit earned by a firm is ₹ 80,000 which includes undervaluation of stock of ₹ 8,000 on an average basis. The capital invested in the business is ₹ 8,00,000 and the normal rate of return is 8%. Calculate goodwill of the firm on the basis of 7 times the super profit. *(Ans: ₹ 1,68,000)*

16. On 1st April, 2023, an existing firm had assets of ₹ 75,000 including cash of ₹ 5,000. The Partners' Capital Accounts showed a balance of ₹ 60,000 and the Reserve constituted the rest. If the normal rate of return is 10% and the goodwill of the firm is valued at ₹ 24,000 at four years' purchase of super profit, find the average profit of the firm. *(Ans: ₹ 13,500)*

17. Gupta and Bose had a firm in which they had invested ₹ 50,000. On an average, the profits were ₹ 16,000. The usual rate of earning in the industry is 15%. Goodwill is to be valued at four years' purchase of profits in excess of profits @15% on the money invested. *(Ans: ₹ 34,000)*

18. The average profit earned by a firm is ₹ 2,50,000 which includes overvaluation of stock of ₹ 10,000 on an average basis. The capital invested in the business is ₹ 14,00,000 and the normal rate of return is 15%. Calculate goodwill of the firm on the basis of 4 times the super profit. *(Ans: ₹ 1,20,000)*

19. The average net profits expected in the future by XYZ firm are ₹ 36,000 per year. The average capital employed in the business by the firm is ₹ 2,00,000. The rate of interest expected from capital invested in this class of business is 10%. The remuneration of the partners is estimated to be ₹ 6,000 p.a. Find out the value of goodwill on the basis of two years' purchase of super profit. *(Ans: ₹ 20,000)*

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20. A partnership firm earned the net profits during the last three years ended 31st March as follows: 2021—₹ 17,000; 2022—₹ 20,000; 2023—₹ 23,000.The capital investment in the firm throughout the above-mentioned period has been ₹ 80,000. Having regard to the risk involved, 15% is considered to be a fair return on the capital. Calculate value of goodwill on the basis of two years' purchase of average super profit earned during the above-mentioned three years. *(Ans: ₹ 16,000)*

21. A partnership firm earned net profits during the past three years as follows:

Year Ended	**Net Profit (₹)**
31st March, 2023	2,30,000
31st March, 2022	2,00,000
31st March, 2021	1,70,000

Capital investment in the firm throughout the above-mentioned period has been ₹ 4,00,000. Having regard to the risk involved, 15% is considered to be a fair return on the capital. The remuneration of the partners during this period is estimated to be ₹ 1,00,000 p.a. Calculate the value of goodwill on the basis of two years' purchase of average super profit earned during the above-mentioned three years. *(Ans: ₹ 80,000)*

22. A business earned an average profit of ₹ 8,00,000 during the last few years. The normal rate of profits in the similar type of business is 10%, The total value of assets and outside liabilities of the business were ₹ 22,00,000 and ₹ 5,60,000 respectively. Calculate the value of goodwill of the firm by super profit method if it is valued at 2½ years' purchase of super profits. *(Ans: ₹ 15,90,000)*

23. A firm earned net profits during the last five years as follows: I—₹ 7,000; II—₹ 6,500; III—₹ 8,000; IV—₹ 7,500 and V—₹ 6,000. Capital investment of the firm is ₹ 40,000. Fair return on capital in the market is 12%. Find the value of goodwill based on three years' purchase of average super profit of the past five years. *(Ans: ₹ 6,600)*

24. Capital of the firm of Sharma and Verma is ₹ 2,00,000 and the market rate of interest is 15%. Annual salary to partners is ₹ 12,000 each. The profits for the last 3 years were ₹ 60,000; ₹ 72,000 and ₹ 84,000. Goodwill is to be valued at 2 years' purchase of last 3 years' average super profit. *(Ans: ₹ 36,000)*

25. A and B are equal partners. They decide to admit C for 1/3rd share. For the purpose of admission of C, goodwill of the firm is to be valued at four years' purchase of super profit. Average capital employed in the firm is ₹ 1,50,000. Normal rate of return may be taken as 15% p.a. Average profit of the firm is ₹ 40,000. *(Ans: ₹ 70,000)*

26. On 1st April, 2023, an existing firm had assets of ₹ 75,000 including cash of ₹ 5,000. Its creditors amounted to ₹ 5,000 on that date. The firm had a Reserve of ₹ 10,000 while Partners' Capital Accounts showed a balance of ₹ 60,000. If Normal Rate of Return is 20% and goodwill is valued at ₹ 24,000 at four years' purchase of super profit, find average profit per year of the existing firm. *(Ans: ₹ 20,000)*

27. The average profit earned by a firm is ₹ 1,00,000 which includes undervaluation of stock of ₹ 40,000 on an average basis. The capital invested in the business is ₹ 6,30,000 and the normal rate of return is 5%. Calculate goodwill of the firm on the basis of 5 times the super profit. *(Ans: ₹ 5,42,500)*

28. The average profit earned by a firm is ₹ 7,50,000 which includes overvaluation of stock of ₹ 30,000 on an average basis. The capital invested in the business is ₹ 42,00,000 and the normal rate of return is 15%. Calculate goodwill of the firm on the basis of 3 times the super profit. *(Ans: ₹ 2,70,000)*

29. On 1st April 2023, an existing firm had assets of ₹ 1,50,000, including cash of ₹ 10,000. Its creditors amounted to ₹ 10,000 on that date. The firm had a Reserve Fund of ₹ 20,000 while Partner's Capital accounts showed a balance of ₹ 1,20,000. If the normal rate of return is 20% and goodwill is valued at ₹ 48,000 at four year's purchase of super profits, find the average profits of the firm. *(Ans. ₹ 40,000)*

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30. Ajit and Baljit were sharing profits in the ratio of 3:2. They decided to admit Chaman into the partnership for 1/6th share of the future profits. Goodwill, valued at 4 times the average super profits of the firm, was ₹ 18,000. The firm had Assets worth ₹ 15,00,000 and Liabilities ₹ 12,00,000. The normal earning capacity of such firms is expected to be 10% p.a. Find the average Profits/Actual Profits earned by the firm during the last 4 years. *(Ans. ₹ 34,500)*

Capitalization of Profits Method

31. Average profit of the firm is ₹ 1,50,000. Total tangible assets in the firm are ₹ 14,00,000 and outside liabilities are ₹ 4,00,000. In the same type of business, the normal rate of return is 10% of the capital employed. Calculate value of goodwill by Capitalization of Super Profit Method. *(Ans: ₹ 5,00,000)*

32. A firm earns ₹ 60,000 as its annual profit, the normal rate of profit being 10%. The assets of the firm are ₹ 7,20,000 (excluding goodwill) and Liabilities are ₹ 2,40,000. Calculate goodwill by Capitalization Method. *(Ans: ₹ 1,20,000)*

33. Average net profit expected in future by M/s. Shaw & Co. is ₹ 30,000 per year. Average capital employed in the business by the firm is ₹ 2,00,000. Normal rate of return on capital employed in a similar business is 10%. Calculate goodwill of the firm by:
(i) Super Profit Method on the basis of two years' purchase; and
(ii) Capitalization of Super Profit Method. *(Ans: ₹ 20,000, ₹ 1,00,000)*

34. A business has earned average profit of ₹ 1,00,000 during the last few years and the normal rate of return in similar business is 10%. Assets of the business were ₹ 10,00,000 and its external liabilities ₹ 1,80,000. Find out the value of Goodwill by:
(i) Super Profit Method if the goodwill is valued at 3 years' purchase of super profit;
(ii) Capitalization of Super Profit Method *(Ans: ₹ 54,000, ₹ 1,80,000)*

35. X and Y are partners in a firm. Their capitals are: X ₹ 3,00,000 and Y ₹ 2,00,000. During the year ended 31st March, 2023 the firm earned a profit of ₹ 1,50,000. Assuming that the normal rate of return is 20%, calculate the value of goodwill of the firm:
(i) By Super Profit Method if the goodwill is valued at 2 years' purchase of super profit;
(ii) By Capitalization Method *(Ans: ₹ 1,00,000, ₹ 2,50,000)*

36. A firm earns ₹ 3,00,000 as its annual profits, the rate of return being 12%. Assets and liabilities of the firm amounted to ₹ 36,00,000 and ₹ 12,00,000 respectively. Calculate value of goodwill by Capitalization Method. *(Ans: ₹ 1,00,000)*

37. A firm earns profit of ₹ 5,00,000. Normal Rate of Return in a similar type of business is 10%. The value of total assets (excluding goodwill) and total outsiders' liabilities as on the date of goodwill are ₹ 55,00,000 and ₹ 14,00,000 respectively. Calculate value of goodwill according to Capitalization of Super Profit Method as well as Capitalization of Average Profit Method. *(Ans: ₹ 9,00,000 in both cases)*

38. From the following particulars, calculate value of goodwill of a firm by applying Capitalization of Average Profit Method:
(i) Profits of last five consecutive years ending 31st March are: 2023—₹ 54,000; 2022—₹ 42,000; 2021—₹ 39,000; 2020—₹ 67,000 and 2019—₹ 59,000.
(ii) Capitalization rate 20%.
(iii) Net assets of the firm ₹ 2,00,000. *(Ans: ₹ 61,000)*

39. X sold his business to Y. Calculate the value of Goodwill taking into consideration the following factors:
a. Goodwill is valued at three years purchase of the average profits of the last four years. Profits of the last four years were as: year 2020 – ₹ 40,000, year 2021 – ₹ 58,000, year 2022 – ₹ 53,000, year 2023

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– ₹ 62,000.

b. Abnormal loss of ₹ 2,000 due to theft has reduced the profits of the year 2020.

c. Profits for the year 2021 include abnormal profit ₹ 4,000.

d. A speculative and lottery profit of ₹ 5,000 was received during the year 2022 which was included in that year's profit.

e. Profits of the year 2023 were reduced by ₹ 10,000 for loss on such machinery which was destroyed by fire during the year. *(Ans; ₹ 1,62,000)*

40. The following information relates to a partnership firm:

(i) Sundry Assets of the firm ₹ 6,80,000. Outside Liabilities ₹ 60,000.

(ii) Profits and losses for the past years: Profit (2020) ₹ 50,000; Loss (2021) ₹ 10,000; Profit (2022) ₹ 1,64,000 and Profit (2023) ₹ 1,80,000.

(iii) The normal rate of return in a similar type of business is 12%.

Calculate the value of goodwill on the basis of:

a) Three year's purchase of average profits.

b) Three year's purchase of super profits.

c) Capitalization of average profits, and

d) Capitalization of super profits.

(Ans: (i) ₹ 2,88,000; (ii) ₹ 64,800; (iii) ₹ 1,80,000 and (iv) ₹ 1,80,000)

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